

# Research Briefing | Spain

## Strong wage gains but limited risk of inflationary cycle

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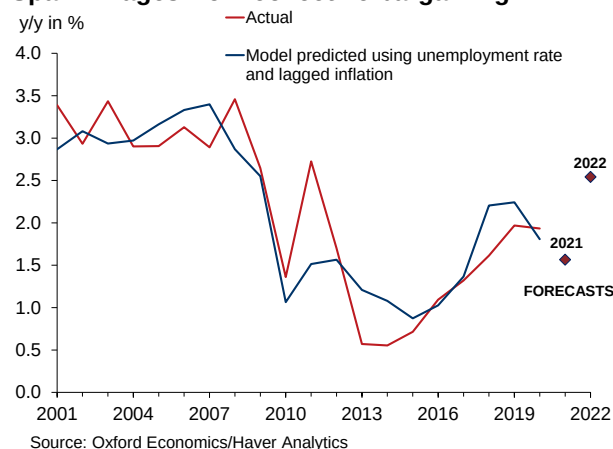
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- With inflation in Spain hitting a 30-year high, fears of an inflationary cycle are rising. However, the transition from the present energy-driven inflation push to a broad rise in consumer prices will likely require a sustained increase in wages. And while we expect wages in 2022 will grow at their fastest pace in a decade, the projected 2.5% advance remains well below the rises seen in the 2000s, the last time Spain experienced sustained above-target inflation, thus limiting the chances of another sustained inflationary cycle.
- The strong historical correlation between wages and past inflation in Spain means we expect to see salaries rise strongly in 2022. However, we believe high unemployment levels should serve as a cap to a wage jump that would threaten second-round effects. Low levels of labour shortages and the nature of the jobs lost during the crisis – the majority of which are seasonal and low paying – mean less pressure on wages as those sectors recover.
- Stronger wages, though, will feed into higher core inflation as companies pass along some of their costs, a knock-on effect already incorporated into our forecast. However, if as we expect, energy prices fall sharply in H2 2022 and act as a lid on inflation next year, then the risks of a sustained wage-inflation cycle would be limited, in our opinion.
- That said, two risks threaten our outlook: Firstly, a more persistent energy crunch could lift headline inflation higher and for longer than we expect and feed into greater salary increases. Secondly, if the pass-through from high energy costs into core goods is stronger than expected, then the danger of an inflationary cycle will increase. To date, however, we have not seen much evidence of pass-through effects.

**Figure 1: Surging inflation is expected to boost wage growth in 2022**

**Spain: Wages from collective bargaining**



Our model predicts wage growth rising to around 2.5% in 2022, a result of the sharp increase in inflation this year. While the rise in wages would represent the strongest figure in a decade, it's still below the wage increases that were common during the 2000s.

# Strong wage gains but limited risk of inflationary cycle

## Price pressures will boost wages, but we're still far from a new inflationary cycle

With inflation surging to its highest level in nearly three decades in October, concerns about the start of a new inflationary cycle in Spain are rising. The transition from the current energy-driven inflationary push to a widespread jump in consumer prices across the economy typically requires a sustained increase in wages. Our analysis shows that, while wages are likely to rise strongly in 2022 in response to price pressures this year, the increase is not likely to be sufficient to fuel a sustained inflationary cycle on its own.

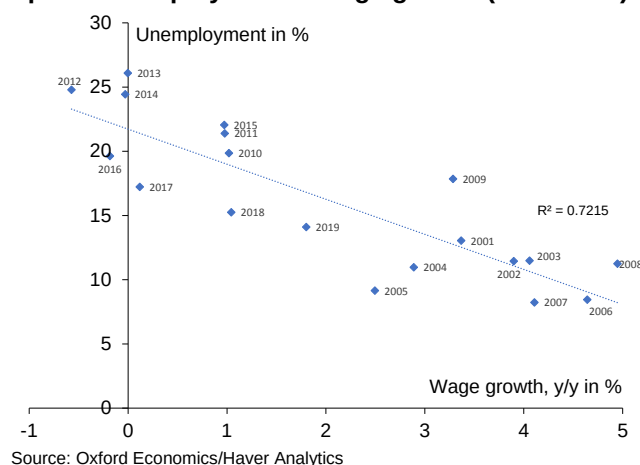
As wages in Spain have a strong correlation with past inflation, we can say with a high degree of conviction that Spanish workers are likely to see strong pay increases in 2022. However, the much-derided Phillips curve remains a useful tool when analysing wage-growth dynamics in Spain (**Figure 2**). As such, the high level of unemployment in 2022 should limit the expected increase in wages. Based on a model using lagged inflation and the unemployment rate, we expect wages to climb 2.5% in 2022 (**Figure 1**), following an estimated 1.6% rise this year (we use negotiated wages from collective bargaining, as other measures of compensation have been distorted by massive shifts in the labour market during the pandemic).

Beyond this analysis, there are additional factors that are likely to prevent a surge in wages. In contrast to what's happening in [other economies](#), Spain has seen few signs of severe labour shortages. By using a version of the Beveridge curve – which traditionally correlates unemployment rate and job openings – and taking responses from businesses citing labour as a limiting factor to their production, we can see the Spanish economy is not suffering from the kind of labour shortage pressures that would lead to persistent wage increases. This is particularly true in the services sector, which accounts for three-quarters of the jobs in Spain and which currently has a very low level of job shortages despite unemployment being almost 15% (**Figure 3**).

This is a factor of the impact the crisis has had on the labour market. The bulk of job losses has been concentrated in the trade and hospitality sectors (**Figure 4**), which means there are still plenty of labourers ready to come back to work as the services economy reopens. The nature of those jobs – highly seasonal, typically under temporary contracts, and relatively low paid – will also put a lid on wage growth.

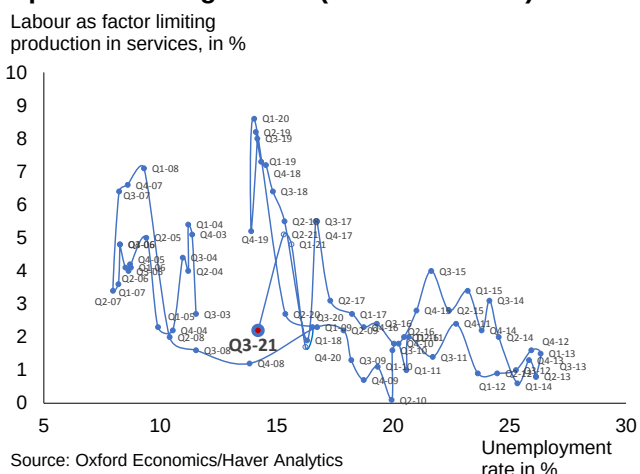
**Figure 2: Phillips curve is still a useful tool when analysing wages in Spain**

**Spain: Unemployment & wage growth (2001-2019)**



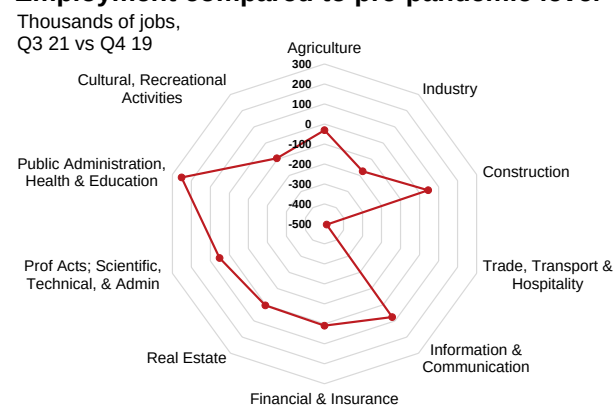
**Figure 3: Low levels of labour shortages mean less pressure on wages**

**Spain: Beveridge curve (services sector)**



**Figure 4: Employment losses are primarily concentrated in trade, transport, and hospitality**

**Employment compared to pre-pandemic level**



# Strong wage gains but limited risk of inflationary cycle

Under some measures, average wages experienced a strong rise in 2020 owing to a compositional effect, the result of hundreds of thousands of low-paid jobs in the food and hospitality sector being eliminated. As those jobs return, the labour market will experience a reverse of this compositional effect, which should limit the rise in wages for the overall economy.

That said, at our expected 2.5% forecast, wage growth will still be the highest we've seen in a decade, leading to some second-round effects. Wage increases and core inflation have historically risen in tandem in Spain (Figure 5), so stronger salaries will be partially responsible for the rise in core inflation in 2022 that is already embedded in our forecast. We expect core inflation to average 1.5% in 2022, compared to an estimated 0.5% this year. But while this would mark the highest rate of core inflation in Spain since 2008, it is still well below the rates seen in the 1990s and 2000s.

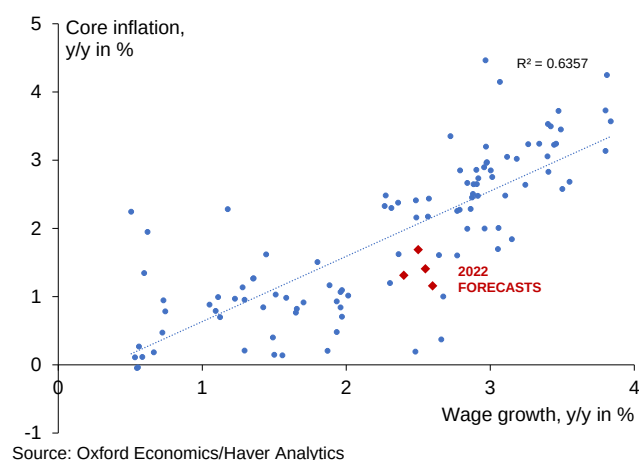
## Risks of a sustained inflationary cycle come from two fronts

The risks to our view come primarily from two fronts. If the pass-through from higher energy costs into core goods is stronger than we expect, risks of a persistent inflationary cycle will increase substantially. So far, the impact of the surge in energy prices is starting to translate into a gradual rise in core inflation, which has been increasing above its pre-pandemic trend in recent months, as higher input costs begin to be reflected in higher prices. However, the impact in Spain is still limited to a very small number of items, with more than 80% of categories still experiencing inflation rates below 2% (Figure 6). An inflationary cycle such as the last one experienced in Spain during the 2000s would require a much more widespread increase in prices across core goods and services.

The second risk comes from a more tenacious increase in energy inflation than currently envisaged in our baseline. Thus far, the sharp revisions to our inflation forecasts have been largely limited to headline inflation, with changes to our core inflation forecast being much more modest (Figure 7). But a sustained rise energy prices driving headline CPI higher than we expect would mean the impact on wages and on core inflation will be much more substantial, increasing the chances of a sustained inflationary cycle.

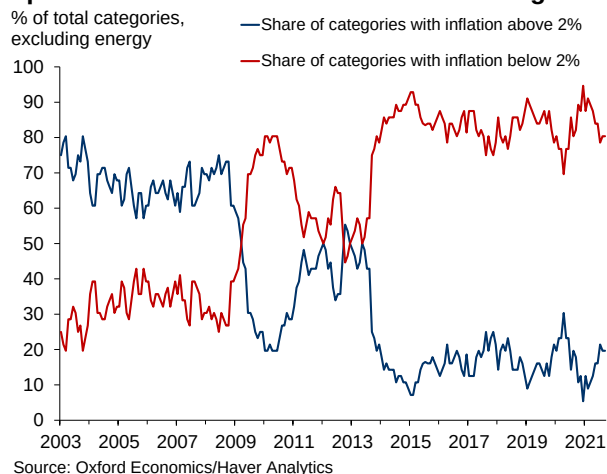
**Figure 5: Higher wages are usually accompanied by a rise in core inflation**

**Spain: Core inflation & wage growth (1996-2022)**



**Figure 6: Thus far, the impact of high energy prices is spreading very slowly into core**

**Spain: Inflation rates across core CPI categories**



**Figure 7: CPI forecasts have experienced sharp revisions on energy, but core has been modest**

**Spain: CPI and core CPI forecasts**

